

14. **Where trust valid, the terms must be strictly observed.** — On the other hand, a creditor was not bound by the arrangement but might recover his whole debt, if the terms of the composition were not strictly and literally fulfilled; for *cujus est dare *ejus est disponere*, and the creditor [*514] has a right to prescribe the conditions of his indulgence (a).

15. [**Bankruptcy Act, 1883.** — By the Bankruptcy Act, 1869, (32 & 33 Vict. c. 71, which repealed 12 & 13 Vict. c. 106, and the subsequent Bankruptcy Act of 1861), the law of bankruptcy was put upon a new footing. But this Act has itself been repealed by the Bankruptcy Act, 1883 (b), which has again introduced a new law of bankruptcy. All persons, whether *traders or otherwise*, are now amenable to the bankruptcy laws. By the 4th section of the late Act the following acts (amongst others) are made acts of bankruptcy, viz. —

1. **Acts of bankruptcy.** — That the debtor has in England or elsewhere made a conveyance or assignment of his property to a trustee or trustees for the benefit of his creditors generally.

2. That the debtor has in England or elsewhere made a fraudulent conveyance, gift, delivery, or transfer of his property, or any part thereof.

3. **Limitation of time.** — That the debtor has in England or elsewhere made any conveyance or transfer of his property or any part thereof, or created any charge thereon which would under that or any other Act be void as a fraudulent preference if he were adjudged bankrupt (c).

But by the 6th section a creditor is not to be entitled to present a bankruptcy petition against a debtor unless the act of bankruptcy has occurred within *three months* before the presentation of the petition for adjudication. Until the expiration, therefore, of these three months] the trustees of

(a) *Sewell v. Musson*, 1 Vern. 210; *Mackenzie v. Mackenzie*, 16 Ves. 374, per Lord Eldon; *Leigh v. Barry*, 3 Atk. 683, per Lord Hardwicke; *Ex parte Bennett*, 2 Atk. 527, per eundem;

and see *Fuller v. Lance*, 7 Vin. Ab. 130.

[(b) 40 & 47 Vict. c. 52.]

[(c) As to what constitutes a fraudulent preference under the Act, see sect. 48.]